

1st Smith lecture

Steven Gardner

00:11

Well, I think uh Professor Cunningham has told you I'm Steve Gardner uh taught here for 45 years. retired a couple of years ago. I um uh went undergrad uh grew up in Dallas, went undergrad to UT Austin in economics and Russian studies and and then went to Cal Berkeley and did my PhD there, uh dissertation about the Soviet foreign trade planning system and uh taught at Grinnell College out in the middle of Iowa for one year and then got to uh got to Baylor in nineteen seventy eight and like I said taught taught here for forty five years, was Uh during six miserable years of that I was chair of the economics department.

01:01

Uh a job none of you should ever want to have, uh because it's bureaucratic, it's uh surprise, surprise Part of your job is to evaluate other faculty members. And you'll be surprised to learn that PhDs don't really want to be evaluated for by some other guy in the department. So uh but a lot of other miserable stuff having to do with the way universities stay accredited and all of that.

01:31

So That was the bad part of my job, but the good part was teaching courses like this one and also taught comparative economic systems. So the The the two the two courses that I was teaching most of the time, I mean I also taught some principles and macro and a lot of other things, but uh the the two courses that I taught most of the time I did not think would survive me because uh uh as Dr. Cunningham may have told you, uh history of economic thought has been taught at Baylor literally since the founding of Baylor originally by Judge Baylor. Uh he taught this series of lectures down in in Independence to uh on the the young men's side of the creek in in independence uh uh on jurisprudence and political economy where he was using a book by Francis Wayland, who at that time was the president of Brown University, which at that time was a Baptist University and Francis Whelan was a Baptist preacher who wrote a a history, who taught who wrote a uh an economics textbook uh that was basically a history of economic thought textbook because back then you were just if you were teaching economics you were teaching the classics and so that's what the book was and I've got a copy of the first edition of it.

02:57

And uh so uh uh so he was uh teaching that he wrote uh Whalen wrote this book and during the thirty years before the Civil War, it is said that that was the most widely used textbook uh in economics in the country, written by a Baptist preacher. Weird. And um uh but that's what uh what Judge Baylor was using here and therefore I pretty much know what he was teaching uh at Baylor uh back in the uh in the around eighteen forty seven And so there's been an unbroken

chain since then of this course being offered.

03:38

And I thought I would be the last one to teach it because there aren't a whole lot of universities that still you're doing something counter-cultural by taking this course because it's uh lots of economics departments around the country have just stopped offering it because and there are a lot of reasons for it, but uh part of it is just that the technical side of economics and Scott Cunningham is a master of the technical side of economics and causal inference and all that good stuff. But the it takes so long to learn all that stuff that if you decide that that's the high priority then it sort of squeezes out. a lot of the other stuff.

04:19

But the other thing is there's this as a as a discipline starts thinking of itself more and more as as a science There's a tendency to say, well, the old stuff is wrong, only the newest stuff is right, and so why would we teach the old stuff that's wrong? And uh so Uh that's what has happened in a lot of other things that call themselves sciences. Now uh the Quick story, uh, this is 20 or so years ago, a young faculty member who had been a Baylor student who went off, got a PhD in a technical program at I think it was Purdue.

05:05

He came back, joined the faculty. He and I had lunch one day. He said he had come to the conclusion that uh there's no such thing as normative economics.

05:17

Uh principles books sometimes have this distinction between positive economics, which is the econom the sort of scientific side, this causes that And normative economics is the side that says, well then what should we do? Anytime you bring a should question into it, you've moved into normative economics So this young faculty member who I will not divulge his name, but he's now the president of a university, he uh He told me that he had come to the conclusion that there's no such thing as normative economics. Economics is a science And I said, well yeah, I agree economics is a science.

05:58

But to say there I said I'll accept that premise on two conditions Uh the first one is we've just gotta say that people like Adam Smith were not economists because Adam Smith his title he was a professor of moral philosophy and he was primarily interested in normative questions. He wanted to know the kind of scientific side to say what informs these normative judgments that we make. So first of all, you just gotta say that Smith and Marx and Ricardo, none of those people were economists.

06:33

It's um until Paul Samuelson or somebody, there there were no economists. And uh the other thing you gotta say is the next time an economist is asked to be, let's say, chair of the board of

governors of the Federal Reserve. The appropriate response would be, well, I'm really flattered that you would ask me to do this, but I really can't accept the job because I would have to make normative decisions what we should do And I haven't been trained to do that.

07:03

And so now what we can do is hire a philosopher who has taken uh, you know, courses in that would prepare them for that. I can be a consultant to a philosopher and I can say if you turn this crank this much It'll speed inflation up or bring interest rates down or within some bounds of of probability that'll happen And then we'll let the philosopher decide because only philosophers and theologians are are sort of trained to make moral judgments. And so uh until you agree to those two things You can't say there's no such thing as as normative economics.

07:45

And so uh but that's why I say it is There's a tendency for more and more people to look at economics that way, and therefore it's kind of a countercultural thing for you to do this. So I was super happy when when I was getting close to retirement and I had told some faculty members, well I guess I'm the last person that'll teach it. And then Scott, who admittedly had no real background in that came and say he just felt bad about it and he said, Can I teach that?

08:16

I said, that would be wonderful. So so therefore that this course is I also taught World Economic Systems where we learned about differences in economic systems around the world. You know, you've got international economics, it's about uh economics of world trade that Lorenzo and other people teach.

08:36

And you've got economic development that's about the problems of low-income countries that John Sosey and Von Fam and other people teach And those are wonderful courses and hope you'll take some of them. Uh what you don't have is an thing in the department where you talk about Europe or Russia or China or any of those parts of the world because that's what I was doing and that hasn't really been picked up since then. And again, there aren't a lot of people nowadays who study those things in the United States.

09:06

So uh that's just a little bit of background on this And uh by the way I'm li wearing a long sleeve shirt and you are too. You must be dressed up for something 'cause cause I've got to go from here to Dallas. I'm on the board of the World Affairs Council of Dallas to Fort Worth.

09:23

We're having a meeting And then Robert Kaplan who's the vice chair of Goldman Sachs and he used to be the uh the uh the the president of the Federal Reserve Bank of Dallas. There's a reception at his home I'm going to and then tomorrow morning having breakfast with the Canadian Consul General. So for an old retired guy, I'm still doing stuff Anyway, uh Adam Smith.

09:49

Um presumably, I don't know Scott really didn't tell me what he did you talk about his life or something last I I really don't know. Okay, so anyway, you know he's this sort of absent minded professor, went wandering out, you know, sleepwalker. Uh uh he uh uh became sort of a follower of of the the physiocrats in France, Quine and and got this idea of laissez-faire, which French term, not Scottish.

10:22

And so from from from the physiocrats, at one time thought about uh dedicating wealth of nations to Quine, who he thought of as being just one of the greatest economists of the time. I wanted to at least touch on the theory of moral sentiments, which Your textbook kind of mentions but doesn't say a whole lot about. The main purpose of at least mentioning it is to say You know, the uh what Adam Smith is especially known for is he's the guy who's going to tell us that an economic system organized around self-interest is Something that works well and in fact he's gonna say it's sort of the natural system.

11:07

He uh uh uh Adam Smith is see somebody who sees the economy Just like the stars and and the the planets and everything, there are there's a natural order to things and there's a natural order to the economy. and uh an economy rooted in self-interest is part of the natural order, uh to to Adam Smith. So when you say self-interest, it's easy to misunderstand, I think what he meant by self-interest.

11:36

And uh so going back to Aristotle and others, there's always been this distinction between self-interest and selfishness. uh you know, golden rule, uh do unto others as you would have them do unto you. Well, uh uh uh it it the that the implication of that yeah you should do things for others but uh but uh there is an implicit you'd kind of like for them to do things for you too you know it's uh uh there is self-interest uh th the world would not work very well if when I woke up this morning I just expected somebody to come and given that I'm able to get out of bed by myself, if I expected somebody to sort of do everything for me.

12:26

Yeah, generally if People will sort of take care of themselves most of the time, have some healthy level of self esteem and uh uh It's an unhealthy thing. Self-hatred is not a great thing. And so some level of self-interest uh just generally taking care of yourself most of the time is a good thing, but then you can cross over to selfishness.

12:54

And so I've just pulled out this one, I don't know if you had a chance since I think he just sent this stuff to you last night or this morning or something. I don't know if you've had a a chance to look at this, but this is just one little vignette in theory of moral sentiments that he wrote

before the Wealth of Nations where he he gives us this scenario that suppose that as he says there's this great empire of China uh that that all of its inhabitants were swallowed up by an earthquake. And then he says, if we're back in Europe and we read about this in the newspapers, we would think, oh, that's terrible.

13:32

Uh and that's sad. And then we would probably just go on with whatever it was we were going to do that day otherwise. And so that would imply that people Don't, you know, they're not completely crushed, or a lot of people are not completely crushed when they hear about something that that's happened uh in another country.

13:53

But uh Uh but then he he sets up this interesting uh question though. Uh Let's see, the most frivolous disaster that could befall himself would occasion a more real disturbance. If he were to lose his little finger tomorrow he would not sleep tonight.

14:15

If if I lost my little finger, I would spend more time suffering over it than I would over the loss of the whole population of a country on the other side of the world. So does that mean uh uh uh let's see the plainly to prevent therefore this paltry misfortune to himself, would a man of humanity be be willing to sacrifice the lives of a hundred million of his brethren, provided he had never seen them. Human nature startles with horror at the thought, and the world in its greatest depravity and corruption never produced such a villain Uh so then he says, so what is it so he says on the one hand we would be bothered more by losing our finger, but on the other hand, if somebody said if you'll if you'll let me cut off your finger, I will not destroy all the people in China Would you go for that?

15:15

And Adam Smith says, yep, you'd let them chop off your finger, because you'd have to be a monster uh to allow, even though you've never met any of them You'd have to be a monster to allow all the people of China to be massacred by an earthquake if you could save them by giving up your little finger. So then he says, now what is it that causes people to make those kinds of moral judgments? And he says, well, it's reason, principle, conscience.

15:44

the inhabitant under the breast, the man within, this voice within. And if you do take some philosophy courses, there are other philosophers who say things kind of similar to that. The man within, the great judge and arbiter of our conduct, uh and uh and he he goes on at at greater length.

16:05

Uh The man within immediately calls to us that we may value ourselves too much and other people too little, and that by doing so we render ourselves the proper object of contempt and

indignation of our brethren. So so this is just one of many little vignettes in moral sentiments where he makes this distinction between sh uh what uh what are th that there is something again that he sees as part of the natural order, that it's human reason and this something built into us that helps us to make moral judgments. He doesn't uh approach it in religious terms or anything of that sort.

16:51

He just sees moral reasoning as part of the natural order. But he's clearly making a distinction between uh between self-interest And selfishness here. So that's my main point of bringing this up.

17:05

Any comment or question about that? So then uh and just a note, yeah, I I I sort of looked over the Hunt book and saw that Uh for my purposes at least, it seemed that he was kind of jumping into doing a critique of Adam Smith before he had fully enough explained what Adam Smith said in the first place. And so it's I if you're gonna do a critique of something, uh if you're gonna do it fairly, you need to at least explain what this other person said as fully and clearly as you can.

17:48

And so my tendency in this course was to kind of go back to original texts and and look at not only what the person said, but you'll see that these readings I've given you in Wealth of Nations, they're sort of in the they're in order. You know, I'm not jumping back and forth and back and forth. It's how did Adam Smith build his argument?

18:11

And so uh so he starts with an introduction plan of work. And says the annual labor of every nation is the fund that supplies it with the everything that it has uh and consumes. Uh and uh Uh so the the number of those are to consume it, the nation will be better off.

18:32

So so the well-being of the nation comes from from what we produce and uh that's Based on this sort of fund of productivity. This is regulated by two circumstances. First by the skill, dexterity, judgment.

18:50

uh with which I labor is applied. Secondly the proportion between those who are employed in useful labor and those who are not so employed. And He has things to say later about productive and unproductive labor.

19:07

So Uh wealth of nations, we're a wealthy country if we've produced a lot of stuff, if we have a lot to divide up. the greatest improvement in the productive powers of labor uh uh seem to have been the effects of the division of labor. What is it that explains productivity of a country?

19:28

It is how well we have specialized. Are you producing what you produce well, what I'm producing what I produce well, if we have the right system of specialization, that adds to productivity. And then he gives this sort of well known uh uh metaphor of the the pen factory where he's apparently gone out and dug up some data and he finds out that Once upon a time if you had somebody who tried to make little pins by himself, and if he had to get the metal and hammer it out and put a pen on it and put a head on it and do do the whole thing by himself.

20:07

There was a low level of productivity. But now we've divided that he says into I forget it's like twenty different steps And so there's some people that just get the metal, some people that roll it out in the wire, others that put the the the point on it, etc. etc. And so he gives some data showing this enormous increase in productivity uh that has come from that. So there's his sort of empirical evidence that That uh the uh uh division of labor contributes to productivity.

20:44

Uh This increase in the quantity of work that is from the division of labor seems to come from what is it that Contributes to the division of labor. Well, three circumstances. First, increase in the dexterity of every particular workman If all you do all day is sharpen pins, you get pretty good at that.

21:08

You might get bored, but but you get pretty good at sharpening pins if that's all you do all day. So the dexterity of the workmen Secondly, the saving of time commonly lost in passing from one species of work to another. I don't have to rearrange the desk and so forth and say, oh, what do I do next I hand the piece of wire to the next person and they do the next thing and so it's uh you don't lose a lot of time.

21:36

Last, the invention of a great number of machines that facilitate and abridge labor and enable one man to do the work of many. So Technology, machinery has contributed to the productivity, but this uh I think his implication here is also, and I'm reading something into it here, I think the implication is that if you are focused on a particular task uh and you've been doing this for weeks and years maybe, eventually maybe it'll occur to you, the work person, that, you know, there'd be a better way to do this thing that I do. And if there was a machine that could pinch this thing or grind it or if there was something that I could have uh w that the the fact that we have taken the task, divided it up into steps, gotten people to focus on those steps.

22:36

that that may contribute to the invention of new machines and so forth that that contribute to productivity. And uh so uh yeah, men are much more likely to discover easier and readier now I guess I wasn't reading it into it, more likely to discover these things. uh if their whole attention

is is put on it.

23:04

Um okay now this uh This chapter uh book one chapter two is in my opinion uh the weirdest chapter in Wealth of Nations. On the principle that gives occasion to to the division of labor. And he's sort of addressing this question now How did people get started specializing in the first place?

23:35

Where did that come from? And he says, well, this division of labor is not originally the effect of any human wisdom. which foresees and intends the general opulence that gives occasion.

23:48

People didn't just sort of figure it out that this it would be better to do this. It is the necessary, though very slow slow and gradual consequence of a certain propensity in human nature uh that has no such extensive utility, the propensity to truck, barter, and exchange one thing for another. Um Smith, this is the way I would state it.

24:14

Smith thought that humans are exchange creatures. There's something built into humans that we like to trade things with other humans. uh later uh in a later paragraph he's gonna say you don't see this many other species of animals, you don't see dogs trading bones with each other.

24:33

Uh there's something that uh that uh the the the this desire to exchange to cooperate in this particular way is part of what makes us human is that we like to exchange things with each other. And uh uh whether this propensity be one of those original principles in human nature of which no further account can be given, or whether it seems more probable It comes from faculties of reason and speech. It belongs not to a person.

25:04

So I think he's implying that since humans are able to communicate with each other in ways that We at least back then thought that other animals could not, and now we're starting to think that other animals were a little brighter than we thought they were back then, but but uh that they do communicate with each other quite a bit. But but uh but his conjecture is that uh since humans exchange ideas with each other uh through reason and speech, maybe that sort of contributes to this propensity to also like to exchange other stuff with each other Now uh I don't think you talked about Aristotle in here, did you? Uh uh Aristotle talked about exchange and he said that uh exchange between humans that if you have there's a uh he also believed that if people specialize they become more productive.

26:09

And uh so if you specialize, and he says if I'm making shoes and somebody else is making something else, and and if I specialize it increases productivity. And so if uh If we start specializing we produce more shoes, let's say, if I'm a cobbler, I produce more shoes than I need for my self and my family. So it's only natural that I would exchange some of those for something that somebody else produces.

26:38

So to the way a the way Aristotle approaches it, it does seem to sort of come out of human reason. uh that people figured out that if we specialize we'll be more productive. Once we've done that, it makes sense for us to exchange things with each other.

26:54

Smith says, no, that's not right. It's uh we just want to exchange things with each other. Uh we just want to do that, and therefore we specialize so that we can get to exchange things with each other.

27:07

That's what I think is weird. Uh it is the the the idea that the reason we exchange things, uh the reason we specialize is that we just have such a strong desire to exchange products with other people. To me that's weird.

27:24

Uh so Then I ask myself, well, why would Adam Smith come up with such a weird idea? You know, why would he make that argument? Do any of you have an idea of on where that would come from?

27:44

Here's again, this is I'm reading things in. Uh if you want to argue that the market system is not just a good system, it is the natural system. Then you can say the market system is rooted in the fact that humans uh humans as we are are exchange creatures.

28:09

And therefore we uh if we were created to be exchange creatures then it is only natural that we would be carrying that out. We would we desire to exchange, therefore we do. Therefore the market system is the system that is part of nature.

28:29

When the Soviet Union tried to pull off central planning, that was unnatural. It's not just that it was inefficient. It was out of line with human nature, Smith would say.

28:40

uh because we are we we want to organize activity through exchange and market activity. That's that's how I read Smith on this. And so like I said he he gives this thing about two greyhounds that are running after the same rabbit.

28:57

They look like they're cooperating with each other, but he says, no, they're not. They're really just It looks like they're cooperating because they're running after the same rabbit. And so you can uh uh then come on in.

29:12

Uh But then this is one of the most sort of famous passages. Man most constantly uh be almost constant man has almost constant occasion for the help of his brethren. It's in vain for him to expect it from their benevolence only.

29:31

uh he'll be more likely to prevail if he can ent uh interest their self-love in his favor and show them uh that it's for their own advantage to do for him what he requires of them And then this is the sentence that you've probably seen somewhere before. Uh it is not from the benevolence of the butcher or the brewer or the baker that we expect our dinner, but from their regard for their own interest. Uh that's In a market system, we kind of count on it that uh people are going to produce things because it is in their interest to produce things.

30:06

uh not because they were ordered to. So we address not their humanity but their self-love So then he so like I said, that's this that chapter is the way I look at it is sort of this aside from the the basic argument. I mean basic argument was We're a wealthy country if we have a lot of consumer goods.

30:27

We have a lot of consumer goods if we're productive. We're productive if we if we engage in the division of labor Then it like I said he kind of does this aside. Why do we why do we specialize?

30:41

Oh, I think it's the natural system. But then he comes back to the argument The division of labor is limited by the extent of the market. So we uh uh we have more productivity if we specialize.

30:55

How much specialization will there be? Well that depends on how large the market is. It's the power of exchanging that gives occasion to the division of labor.

31:06

So the extent must always be limited by the extent of that power, the extent of the the size of the market. I have it small, no person if Robinson Crusoe's on an island by himself, he can't specialize. uh more people show up he can do more and more uh it is by means of water carriage that a more extensive market is opened uh we can have trade not just on our little

island, uh but if we have water if we have ships and boats and travel on rivers than we can we can trade with people farther away.

31:44

The bigger the market is, the more people the more we can specialize. Since such therefore the advantages of water carriage, it's natural that the first improvements of art and industry should be made. where this convenience opens the whole world for market produce of any sort of labor.

32:07

The nation uh the nations that, according to the best authenticated history, appear to have been first civilized So again, this is his empirical evidence. He's saying we The wealth of a nation consists of its consumable goods. That comes from human labor.

32:32

Human labor is more productive if we specialize. We can specialize more if we're interacting with more people. Uh if we have if we can open up trade not only in our little community, but with the rest of the world, uh then uh we get a higher standard of living and therefore he's saying if if we thought that Self-sufficiency was the road to uh uh to wealth of nations, then you might have expected that the first civilized countries and civilizations would have been out in remote places where people were just interacting among themselves But instead we find that the first significant civilizations were along sea coasts and rivers and so forth, where people had the advantage of water carriage.

33:28

to to trade goods with other people that were farther away. So if you want the kind of the seed of the argument for free trade or for trade in general, whether you call it free or not, there it is. It is uh uh that's the sort of Adam Smith version of it is with free trade uh we're able to specialize we are able to interact with more people, specialize more, have a higher level of productivity, then everybody in principle can benefit from that We'll have more to say about trade later on, but not today.

34:07

And I should be paying attention to what time it is. Okay Any, any, again, anywhere along the way, please, if you have questions, comments, jump in. Um origin of use of money, I'm skipping over most of that chapter because he he goes into kind of a history of Why did people use gold coins and you know what what are the the characteristics of things that work well as money?

34:35

But it's in this chapter that he uh He starts talking about value, exchangeable value. These rules determine what may be called the relative or exchangeable value of goods. The word value, it is to be observed, has two different meanings.

34:57

Sometimes expresses the utility, the usefulness of a particular object. sometimes the power of purchasing other goods which the possession of the object conveys. One may be called value in use, the other value in exchange.

35:12

Things that have the greatest value in use have frequently little or no value in exchange, and on the contrary, those which have the greatest value in exchange have frequently little or no value in use By the way, Aristotle said a lot of this stuff too. Nothing is more useful than water, but it will purchase scarce anything. Scarce anything can be had in exchange for it A diamond, on the contrary, has scarce any value in use, but a very great quantity of other goods may frequently be had in exchange for it So he sort of throws that out there.

35:46

He says, value, it's a confusing word. People use it in different ways. People confuse this this is an aside, but I'm frustrated since I taught history of e since I taught comparative economic systems for so long.

36:02

The word socialism is one of those words that's completely lost its meaning because people are using it in so many different ways. And uh And uh, you know, if any of you want to have a side conversation with me about that, I'll be happy to do it. But it's it's one of those things that uh If you go back to the original meanings, John Stuart Mill that used it one way, Karl Marx that used it a different way.

36:32

And now the way people are talking about is doesn't relate to either of those. And so it's it's just a mixed up word. So uh Smith is telling us value is kind of a mixed up word.

36:44

We say something is valuable if it has a high price, if I can use it to get a lot of something else. But something's also important to me, valuable if it like keeps me alive. And so water is has great value in use.

37:03

Um it keeps me alive. But uh but a bottle like this is pretty cheap, uh even though it'll keep me alive. And so he he just s he just makes this observation, throws his hands up, says Isn't that weird?

37:18

Uh uh value and use, value and exchange just don't seem to be related to each other. But then he goes on to say, in order to investigate the principles that regulate the exchangeable value of commodities, I shall endeavor to show So he makes this observation, then he says, but this is

an economics book. I'm not going to talk about usefulness.

37:46

I'm going to talk about exchange value. And we're going to forget about usefulness. Now, economics he doesn't convince anybody that these two things are unrelated to each other.

38:00

And so John Stuart Mill tries to work out a solution to it. What you finally get is the marginal revolution later, you know, in the late in the nineteenth century, that says, uh, yeah, uh A uh uh a bottle of water is not worth all that much uh because the the marginal bottle of water, this one bottled, is not acting adding all that that much additional usefulness, utility, satisfaction to me But water in general, if I if you created a water shortage, uh then water would become very valuable. And so the marginal bottle would become really valuable if we didn't have enough of it.

38:51

So It is not just usefulness in general that sets the price of the thing. It is the usefulness of that thing at the margin. the additional utility you get from the last bottle of water that you drank.

39:06

And I ha already had some this morning, so I'm not getting that much uh additional utility, but if I had not had a bottle of water in three days, uh that would I would be getting a lot of additional utility from it and I'd be willing to pay a high price for it. So uh price is related to not to general usefulness but to marginal usefulness. That's sort of the solution to the Adam Smith.

39:32

problem but that takes another hundred years to get figured out. Yeah. I see how that makes sense for water, but how does that explain why a diamond is so valuable?

39:42

Um it is again usefulness is we we can think of usefulness in terms of survival. We can also, if you think of usefulness in terms of satisfaction, happiness, uh if you uh if a diamond is something that gives you a lot of satisfaction as a symbol of somebody's love for you, as a you know, uh they're they're uh it's not just a matter of survival. that utility satisfaction has a lot of dimensions.

40:19

Um so he says We're going to focus on exchange value. And then he says, in order to investigate it, I'm going to uh gonna look at here here's the outline of my argument First, I'm going to say what is the real measure of the and you'll hear me yell the word measure a lot. The first the measure of this exchangeable value are wherein consists the real price of all commodities.

40:49

Second, what are the different parts of which this real price is composed? And and last What are the different circumstances that sometimes raise these different parts of price? Because the parts of price are going to be wages and profits and rents.

41:04

And so he's going to say The real price of a thing is determined by the cost of producing it. The cost of producing it is going to have those three components, wage cost, profits, and rents. And so I'm going to go into a chapter for each of those to talk about what causes wages to be a high or low in particular areas of specialization.

41:29

So that's sort of the outline. But uh the the important thing I would argue to notice here is that that first thing uh the measure is sort of separate from the other two things that have to do me think of again Dr. Cunningham teaches causal inference It's one thing to measure something. It's another thing to figure out what causes that thing to go up or down.

42:01

If you're taking a macroeconomics course, you you you learn about uh real and nominal g GDP and so there's there are different ways of measuring GDP and so that there you just find out how's the economy been doing? And then you move into a theoretical part of the course where you say, well, what may have caused GDP to grow or to fall into a recession and what are the underlying forces. So so the his measurement chapter is not his causal chapter.

42:36

And so he's going to have this measurement chapter first. So of the real and nominal price of commodities or their price in labor and their price in money. The uh let me just talk about this, then you can go back and read through it and see if what I said seems to line up with with what you read.

43:08

He's he's gonna say that the the uh the nominal price of a product is its price in money. Uh that's uh And that depends different places, different times, different currencies. That's what will determine the nominal price of a product.

43:29

And uh uh the the real price of everything, what it really costs the man who wants to acquire it, is the toil and trouble of acquiring it. What everything is really worth to the man who has acquired it and who wants to dispose of it or exchange it for something else is the toil and trouble which he can save himself which can impose upon other people. Okay, this is where we get into, and and I think, I'm not sure about Hunt But after teaching this course for 45 years, I came to the conclusion that at least half the people who have studied Adam Smith have misunderstood Smith on this particular point, which is uh you know, we're gonna Hunt talks about labor theory of value The Hunt textbook says that Adam Smith had a sort of an

unsophisticated approach to the labor theory of value, and that later Ricardo and Marx had a more sophisticated approach.

44:34

I disagree with Hunt on that. What Adam Smith did is he's going to say the labor theory of value, this idea that the relative values of things are determined by the amount of labor that went into producing them. Smith is eventually you'll see it soon, he's going to say that works in primitive societies before you have capitalists or landlords uh if the only cost producing something is labor cost, then uh then labor cost is what uh causes relative the price of one thing to be high and the price of another thing to be low.

45:15

But as soon as capitalists and landlords come into the picture, labor theory of value just doesn't work anymore Ricardo and Marx are going to try to say, well, Ricardo is going to say, well, yeah, it's not exactly right, but it's close enough, and let me make some adjustments and try to see if I can still use the labor theory of value, even though I admit it's not really correct. And then Marx is going to say, no, the labor theory of value is correct. as a theory of values, uh of true values of things.

45:51

But then you gotta wait until he's dead. And and Frederick Ingalls puts out the third volume of Das Capital to find out that Marx was making a distinction between the true values of things and their prices. And so uh then there's a chapter in Das Kapital volume three, it's that's on the the transformation of values and Marx thought that there was a cool little mathematical routine you could go through to turn this metaphysical thing value into something called a price.

46:24

And to me that's crazy, the idea that you can come up with a mathematical relationship between a metaphysical thing and a real world thing. Uh uh they're just not mathematically related. Uh there are other people uh Paul Samuelson wrote a brilliant paper screwing around with that thing too, and it just didn't make any sense either.

46:46

And so uh Uh so anyway, labor theory of value, what what in this chapter, Mark uh uh Smith is saying There's a sense in which if you're just measuring things, not figuring out what causes a price to be high or low, but if you're just measuring things then okay the the nominal price is what I've got to pay in money to buy something but what is the real price to me of getting that share. Well the real price is that I've got to work a cup a certain number of hours or minutes or whatever, whatever it is that I do. To earn enough money to buy the chair.

47:35

The real price to me of the chair, it's not how long it took to make the chair. I didn't make it Uh

labor theory of value gets into this question of how long does it take a chairmaker to build a chair. But the real price to me of buying a chair is that I've got to work at whatever it is that I do for a certain amount of time to earn enough money to get the chair.

48:01

And so I just stuck in at the end of this chapter. Here's I I wish somebody was still doing this. This is a thing way back in 1999.

48:12

But it's it's showing you uh for a metal worker. That this was something put together with by a metal workers federation. But it it sort of illustrates the idea of the the Working time required for a worker in basic metals industry given the wage rates that they're earning.

48:36

How long does a metal worker in different countries have to work to buy different products. So, you know, uh a metal worker in Germany can work for seven minutes and buy a loaf of bread, but a metal worker in Ghana back at that time had to work for an hour. To that was the real price to a Ghanaian of getting worth a loaf of bread, uh, was you had to work for an hour.

49:06

And uh uh anyway, you can see all the other examples there, but that's the idea. So if you just kind of get that in your head that what what Smith means by the real uh the when he when he talks about uh their price in labor and their price in money. The price in money is what he's going to end up explaining.

49:36

in these subsequent chapters. But the real price to a person for getting something is the amount of labor time I've got to work to to earn enough money to buy the thing. But you gotta draw a big line between this chapter that is not about causation.

49:54

There's kind of a labor theory of value in measurement uh the value of that chair to me, how much I would have to pay to in labor time working at something else to get it is uh a measure of the the price to me. Uh does that so then he goes on and he says that You know, gold and silver vary in value, sometimes cheaper, more dear. And he talks about gold and silver versus uh corn, uh grain.

50:34

And he he thinks over the centuries, the working class, the basic working class, has just about always been living its subsistence. at a at a sort of a something a little over a survival level. So over long periods of time the price of grain must have stayed about constant over long periods of time because if it had not stayed fairly co if If the real price of grain goes up too much and you have to work longer to feed your family then fewer of your children are going to survive, uh

the population will fall and eventually there will be a labor shortage.

51:20

and that labor shortage will pull wages up until the real price of grain is about what it was before. That the real price of grain over the long run on average had to be fairly stable And so he says, so if you want to compare the price of a chair a hundred years ago and the price of a chair today in real terms You'd you could say, well, how does, given that we don't have good wage data over hundreds of years, if we do have good data for grain prices over hundreds of years, we could say, well, has the price of a chair gone up more than the price of a bushel of grain by a larger percentage? If it did, then the real price of a chair went up over the long run.

52:13

uh and uh because the price of grain in terms of human time stayed fairly constant over long periods of time. So you can if that's what you want to know is relative prices In the long run, you can compare the price of any product to the price of grain. But in the short run, he said our best bet is just to use the the nominal price, the price in gold.

52:41

And uh so let's see, there's just one other where is it? Uh To exchange it. Um Anyway basically somewhere here he says that it's the one uh Oh, here we go.

53:10

Labor, therefore, it appears evidently is the only universal as well as the only accurate measure of value, or the only standard by which we can compare the values of different commodities at all times and all places. We cannot estimate it uh the real value from century to century by the quantities of silver We can't estimate it from year to year by corn. Uh but uh but the uh But when he says that labor is the one thing that can be used over long periods of time across time and across countries Here's what I I th if what s Smith implicitly is saying is that if there is something that has constant value, real value over long periods of time It is the value of an hour of a person's time.

54:08

If there's if there's anything that's worth the same to me as it was worth to Adam Smith and worth to Aristotle and to a lot of other people. Uh presumably an hour of my time is worth about as much to me as an hour of Adam Smith's time was worth to him, etc. etc. And therefore he's using that as the sort of uh common denominator, the numerator, whatever word you want to use, uh across time and space to say has the real price of something gone up or down? And uh but once again all that has to do with measurement.

54:52

Uh we're about out of time, I think. Is that right Um wait, we go for Huh? Oh, twelve fifteen.

55:00

Okay, great, great. Um you're probably gonna be beaten up by somebody for telling me that. But uh oh what by the way, you've probably also already aware of the Big Mac index that is the same sort of thing.

55:15

It's to say, you know, in different countries, uh uh uh how many minutes would I have to to work to earn enough money to buy a big Mac? And uh in Denmark uh five point seven minutes Down here if you want to buy a Big Mac in Pakistan you gotta work uh what four hours or so uh to to earn enough money to buy a Big Mac. So the the real price of a Big Mac in human work time is way higher uh in Pakistan and a lot of these other countries.

55:55

Uh actually I'm surprised that it's cheaper in Denmark and Norway and Switzerland than in the US because when I travel to those places they seem pretty expensive to me. Okay, well a little bit more. Here's where he says in that early and rude state of society that precedes comes before accumulation of stock and appropriation of land.

56:24

Before there are capitalists who own capital, stock, and before their landlords that own the land. The proportion between quantities of labor necessary for acquiring different objects seems to be the only circumstance that affords any rule. for exchanging them with each other.

56:45

Uh if among a nation of hunters it usually takes twice as long to kill a a beaver as it takes to to kill a deer, then a beaver would be worth uh uh two deer. Uh if it if if we bother to spend time hunting down beavers and if it takes uh twice as long to hunt one down as it takes to hunt down a deer then and if we're doing both of those things, then if you just think of it in cost, you know, the wage cost of of hunting down a beaver is twice as high as the wage cost of hunting down a deer. So its price would be high twice as high, because in this primitive society that precedes capitalists and landlords, that's the only element of cost Uh so in this state of things the whole produce of labor goes to the laborer.

57:46

You've got sort of socialism, if you will. Laborers get everything because they uh everybody's a laborer, yes.

Student 1

57:54

Is it mainly about time, not so much like degree of effort?

Steven Gardner

57:58

That's a good question. He's just talking about time, but uh but obviously uh you know, y if we

were to dig further into it, effort, skill, you know, uh we'd this is the kind of trick that Karl Marx and other people play with labor theory of values to say in order for this to operate we gotta look at people using the average level of skill and so forth. So so uh No, I think that's a good point.

58:28

But his his main focus is on uh if it takes twice the labor. So uh I think he's really talking mainly about labor time there. Um But as soon as the stock as stock is accumulated in the hands of particular persons Some of them will yeah, as soon as we have a cla a capitalist class, as soon as we have some people who have savings They will want to use their savings in some cases to hire other people and they'll want to to do that to try to make a profit.

59:06

in exchanging the complete manufacturer either for money, labor, or other goods over and above what may be sufficient for all the costs, materials, wages, something given profits uh he would have no interest to employ those other people unless he expected to get a profit. Uh and as soon as the land has become private property and landlords love to reap where they never sowed. Uh the demand uh and they demand a rent even for its natural produce And so that becomes a third component part of price.

59:43

So the real value of the different component parts of price that must be observed is measured by the quantity of labor that they can uh each of them purchase or command. Labor measures measures the value not only of that part of the price which resolves itself into labor, but the other things if you're talking about measurement, previous chapter, but uh but it's only the labor part that uh the time labor that that goes into the wage uh part of the of the price. So natural and market price of commodities Uh there is in every neighborhood ordinary or average rate of wages and profit in every uh employment of labor and stock.

01:00:34

This rate is naturally regulated by a lot of things we're gonna talk about later. There is likewise in every society or neighborhood an ordinary or average rate of rent, which is regulated too, partly by general circumstances of society and partly by natural improved Fertility of the land, these ordinary or average rates may be called natural rates of wages, profits, and rent, which I think is just an interesting move when you say Let's say that what's average is natural. Because I like to think I again I'm Adam Smith.

01:01:14

I want to say the economy is part of the natural system. And uh so I'm gonna use the word natural as often as I can. Uh and so uh in any given place there's sort of an average level of wages and profits and rents And let's call those natural.

01:01:33

And then uh when the price of any commodity is neither more nor less than sufficient to pay the rent of the land, the wages of labor, and the profits of stock employed in raising, preparing, and bringing it, the commodity, to market, according to their natural rates The commodity is then sold for what may be called its natural price. Okay, so the natural price of a commodity is the cost of producing it when everything going into producing it is at its natural rate. The uh if we've got the If it to to make that chair if the workers that are uh laboring get average wages and the landlords that provided raw materials or something are getting a an average rent and the capitalist that hired the workers and built the factory and bought the raw materials, if he's getting an average rate of profit.

01:02:41

If everybody involved in manufacturing the chair is getting a normal natural uh average income, then uh the cost of building the chair is its natural price. The natural price, the cost of producing it where everybody's just getting a normal income. Now, the actual price at which any commodity is commonly sold is called its market price.

01:03:09

He's going to make a distinction between market price and natural price. The market price may be either be above or below, or exactly the same as the natural price But then he goes on to argue that in the long run, there's a tendency for the market price to gravitate towards the natural price. And basically the argument is just, well, he he's gonna say uh in for agricultural products, if uh uh if we On a particular day, if uh too little of a particular product is brought to market.

01:03:55

And oh well, one other point that needs to be made. The market price is regulated by the proportion between the quantity actually brought to market and the demand of those who are willing to pay the natural price of the commodity or the whole value of the rent, labor, and profit which may must be paid in order to bring it thither. Such people may be called the effectual demanders and their demand the effectual demand.

01:04:27

So was there a Uh if we've got price quantity, if you think of a demand curve, uh the here's The natural price. Uh here's the natural price, the price that is just high enough to cover average cost of production uh natural cost of production. So the quantity demanded at the natural price is what he's going to call effectual demand.

01:05:07

Quantity demanded at the natural price is effectual demand. So he says the market price is regulated by the proportion between the quantity brought to market that can be higher or lower than effectual demand, uh the proportion between it and effectual demand. So uh When the commodity, when the quantity brought to market falls short of effectual demand, if if this much

is brought to market.

01:05:42

All those who are willing to pay the whole part of the rent wages and profit which must be paid cannot be supplied with the quantity that they want. Rather than want it all together, some of them will be willing to give more, so a competition breaks out, and the market price would rise up to something like that So the market price, if too little is brought to market, the market price will rise above natural price Which tells you that the uh uh if the market price is higher than natural price than somebody And in principles of economics courses you would have have there was always the assumption that if If uh the price is higher than cost, then the additional income must be going into profits Smith doesn't make that assumption. He says uh uh competition breaks out, market price will rise more or less above natural price.

01:06:48

Hello. Uh touch panel has not been used for more than two hours. What touch panel are we talking about?

01:06:59

That's not Oh uh I can't see there we go. That touch panel. Um The quantity brought to market naturally will rise above uh Natural uh the quantity brought to market suits itself to effectual demand.

01:07:24

Uh if anyway, the point is that if too too little is brought to market We're getting a price that's higher than normal cost of production. So somebody's going to get extra income. Like I said in the principal's course, it was assumed that that would be the person getting profits But Smith kind of leaves it open.

01:07:45

Maybe some of it goes to wages, maybe some of it goes to rents. But the point is that somebody is getting paid more than a normal rate to use their resources in this in this industry. So there will be a tendency for us to say, well if we can make that much money selling this product then we oughta use more of our labor or more of our capital or more of our land to produce that product and therefore more will be brought to market.

01:08:16

in a subsequent period and eventually there will be a tendency for the quantity brought to market to to gravitate towards effectual demand. So there will be a long run tendency for market price to sort of on average uh gravitate towards natural price. So what he's doing here is he's admitting The prices that goods are not always sold at their natural prices.

01:08:46

Uh that market price can be higher or lower But in the long run, natural price is sort of the the

the central gravitational pull. And therefore in the coming chapters, I'm mainly going to focus on talking about natural price Which is determined by wages, profits, and rents. So if I explain wages, profits, and rents, I will have explained natural price.

01:09:15

The natural price therefore is the central price to which prices of all commodities are gravitating. uh whatever may be the obstacles that hinder them from settling. Anyway, let's see.

01:09:28

Then he talks about monopolies, but uh uh let's see So the natural price varies with the natural rate of the component parts, wages, profits, and rents. And every society varies by these various circumstances. And uh so uh I'm going to in the the coming chapters explain as fully and distinctly as I can the causes of these three variations.

01:09:59

So here's sort of his theory of value. It is uh my theory of value is a cost-based theory of value. uh natural prices determined by cost of production.

01:10:12

In a primitive society that would have just been wages before there were capitalists and landlords, but now we've got capitalists and landlords and they make things more complicated. And so uh but if I explain wages and profits and rents, I will have explained natural price. And so he's gonna now wander into those three chapters to talk about those things.

01:10:40

And now I think it is close enough to time that I'll I'll just go and break it off there. So uh uh is that are you following this pretty well? Good.

01:10:52

I will okay now I think Cunningham's gonna be back on Tuesday. I have no idea what he's doing. Uh because I don't think he's gonna talk about Smith.

01:11:02

I think he's gonna talk about something else. And so a week from today I'll be back and then I'll be back the Tuesday after that and we'll kind of get through Adam Smith that way. Thank you.

01:11:24

Well, I mean like I said, uh yeah if you go back to let's say John Stuart Mill, uh uh in and his principles of political economy. Uh Mill says that there are these uh He he's he ends up supporting the existing system but with reforms. But he says that there are these people who Who have become uncomfortable with our current sort of capitalist system, doesn't use that word.

01:11:54

Um and so he says that these assailants of capitalism sort of fall into two groups. There's one group that that are called uh the the communists that want sort of full equality of of incomes and wealth. And then there's another group that we call socialists who are in favor of all of that, but they will admit some inequality.

01:12:17

based on uh how hard people are working or you know there there are things that might explain some inequality. And so it is to to John Stuart Mill, uh combin communism and socialism were just sort of two different proposals that different groups of people are making right now. Uh to Karl Marx it's historical.

01:12:40

You know, it is it is you're gonna you you go through uh primitive societies and capitalism and then you have a revolution, you move into socialism, you have low stages of socialism that operate in one way. the so-called dictatorship of the proletariat and eventually uh there's this there's there's this heaven that you reach that's called communism uh out there in the future somewhere. Uh Marx was such a miserable I mean, he had such a miserable life that I always really wonder to what extent he even himself believed in this future communist state Or because he was competing with other socialist leaders at the time who had diff had different uh he's also competing with the anarchists who thought that we just need to kind of get rid of all institutions of governmental power.

01:13:33

Uh and he said, No, that's just not realistic. I'm the adult in the room. And we've we still after the revolution, people are still gonna we're inheriting people in a system that existed right before it's you still gotta have a government and we're still in a world where other countries have not gone through a revolution, so you still gotta have a a military and so.

01:13:55

Uh but you know, in the sweet by and by somewhere out there what you anarchists and others want can happen. But let's get rid of Real for now. You know, so it it's uh so so there there are those Millian and Marxian and other ideas.

01:14:15

And of course, when John Stuart Mill talked about socialism, what he was mainly talking about was uh little socialist communities, not national socialism of any kind. Do you know what I mean? Where where are you from?

01:14:33

Uh originally. Houston. Uh do you know what Reunion Tower is in Dallas?

01:14:38

There's a in downtown Dallas there's a a tower with a ball on top. Uh do you know why Reunion

Tower is called Reunion Tower? Uh there is a French and Swiss socialist community that came to Dallas in eighteen forty and tried to start a uh kind of utopian socialist community

Student 2

01:15:00

In the tower?

Steven Gardner

01:15:01

Right on the other s uh, it's right on the other side of the Trinity River from where Reunion Tower is. There's there's a graveyard there with a historical marker. about La Reunion.

01:15:11

The this uh so it's named after this socialist community that now you had a bunch of academics who had never farmed, who came there and and then they also got there at a time when the weather was terrible and it didn't last very long. Uh some of 'em went back to Europe. Uh one of the first mayors of Dallas was a French socialist.

01:15:35

And uh uh and if in Dallas there's Swiss Avenue that that that's uh sort of a uh neighborhood that that goes back to some of those early settlers. So the uh Uh how I shouldn't set this turn this thing on